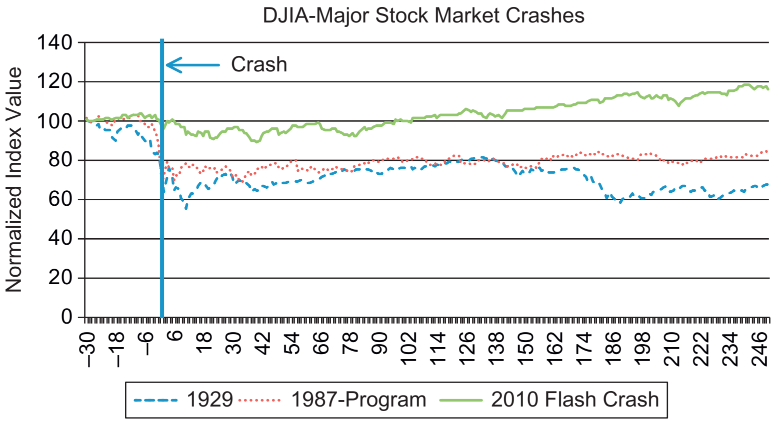
Comparison with Previous Crashes

Investors and regulators need to keep in mind that our financial markets are very resilient. On the day of the flash crash markets recovered within a 20−30 minute time period. The mispricing of securities self-corrected itself much quicker than in previous crashes which took several years for full recovery.

To show this, we compared the Dow Jones Industrial Average (DJIA) for the May 6, 2010 flash crash to the crash of October 1929 and the 1987 program trading crash. First, in October 1929 the DJIA declined 13.7% on October 28, 1929 and declined another 12.5% on the 29th. Over this two day period the index was down 32.9% from its high to its low. This decline was further followed by an economic depression. The program trading crash took place on Monday October 19, 1987, and the DJIA declined 25.6% that day. The index was also down 4.7% the previous Friday. The recovery period following the 1987 program crash was several years but was not nearly as long as the 1929 crash.

Now compare these crashes to the May 6, 2010 flash crash. On the day, the DJIA declined 9.7% from its high to its low. This decline was quite rapid and took place almost entirely over a 30 minute period. On the day, the DJIA was down 3.2%, not nearly the same magnitude as the previous crashes. Furthermore, the DJIA recovered immediately following the flash crash. Figure 2.11 shows the movement of the DJIA for each of these crashes starting from thirty days before the crash to one year after the crash (250 days). The index values were normalized to a value of 100 at



■ **Figure 2.11** Major Stock Market Crashes.